

bitcoin portfolio had a 22 percent greater Sharpe Ratio, offering more return for the risk taken (note that comparison calculations in the text were made using unrounded numbers, while the tables show rounded numbers).

Four-Year Holding Period (January 2013 to January 2017)		
Metric	Base Case	1% Equity → Bitcoin
Weekly Volatility	1.13%	1.18%
Sharpe Ratio	1.28	1.57
Compound Annual Returns	10.8%	14.0%

Figure 7.21 ■ Comparative performance of a four-year portfolio with and without a 1 percent allocation of bitcoin

Data sourced from Bloomberg and CoinDesk

To underscore the significance of compound annual returns 3.2 percent greater over a four-year period, we look at the end results. If both portfolios started at \$100,000, the outperforming bitcoin portfolio would have accumulated approximately \$170,000, while the one without bitcoin reached only about \$150,000, a difference of \$20,000 over four years.

Now comes the true test of bitcoin: if an investor had decided to deploy a 1 percent allocation into bitcoin at its November 29, 2013 peak and held it until the start of 2017, what would have happened? It would be reasonable to expect that even a 1 percent allocation to bitcoin would put a drag on the returns of the portfolio and also lower the Sharpe ratio.